

Section Six

Make an Offer or Reject Candidates

CHAPTER 24

Negotiate an Offer That Works

by Michael Schaerer, Martin Schweinsberg, and Roderick Swaab

Negotiation experts have long advised a win-win approach focused on creating mutual value. This approach effectively turns counterparties into collaborators instead of adversaries, pooling their creative resources to “expand the pie” rather than fighting over the size of their respective slices. Not only does this generate more financial value for everyone, but it also has interpersonal benefits: Business relationships are stronger after the negotiation if all parties walk away happy with the outcome. (See table 24-1 for a quick refresh of the basic negotiation process.)

TABLE 24-1

The negotiation process

Every negotiation involves different players, interests, and goals. Despite those differences, most negotiations follow the four phases shown here. Once you understand the process and strategies for each phase, you can adapt your approach to individual situations.

Phases of negotiation	What’s involved
1. Prepare to negotiate	● Identify the type and scope of the negotiation. ● Establish and improve your position. ● Identify your own interests. ● Assess the other party’s position. ● Identify your counterpart’s interests. ● Identify the zone of possible agreement. ● Plan your opening move and contingency moves.
2. Conduct the negotiation, including offers and counteroffers	● Set the stage and tone. ● Use your planned strategies. ● Continually evaluate what’s happening.
3. Finalize the agreement	● Prevent errors, and manage your emotions.

	● Handle impasses. ● Close the deal. ● Evaluate the outcome.
4. Fulfill the agreement	● Carry out the agreement. ● Meet your commitments. ● Capture and share what you learned.

Source: Adapted from “Understand Negotiation,” Harvard ManageMentor, https://hbp.myhbp.org/hmm12/content/negotiating/understand_negotiation.html.

This win-win mindset works well for negotiations with multiple issues, since having more than one issue to discuss gives negotiators flexibility to explore priorities and make mutually beneficial trade-offs. However, a win-win approach is considered to be unsuitable for negotiations with only one issue that cannot be transformed into multi-issue negotiations, which is sometimes the case when negotiating salary or rent. (See table 24-2 for a quick overview of single- versus multi-issue negotiations.) In such negotiations, we often assume that one party’s gains are the other party’s losses, and the more you push your counterparty, the less satisfied they will be with the deal. Common wisdom therefore suggests that the best you can do is weigh your desired financial result against the importance of preserving a positive relationship and decide how aggressively to negotiate accordingly.

TABLE 24-2

Identify the type of negotiation: Single- versus multi-issue negotiations

Before you begin bargaining, you need to know what kind of negotiation you’re engaging in. This knowledge will influence your strategy and the choices you make. The two main types are single-issue negotiation, also known as “distributive” or “win-lose” negotiation, and multi-issue negotiation, also known as “integrative” or “win-win” negotiation. Although negotiators should attempt to transform a single-issue negotiation into a multi-issue negotiation to create actual and perceived flexibility, it may not always be possible to do so.

Characteristic	Single-issue negotiations	Multi-issue negotiations
Number of issues involved	One	Several
Outcome	Win-lose	Win-win
Motivation	Individual gain	Joint and individual gain
Interests	Opposed	Different value and priority placed on issues
Duration	Short-term	Short- or long-term
Ability to make trade-offs	Not flexible	Flexible
Solution	Not creative	Creative

Source: Adapted from “Prepare to Negotiate,” Harvard ManageMentor, https://hbp.myhbp.org/hmm12/content/negotiating/prepare_to_negotiate.html.

But research shows that there is another option. In a paper for the *Journal of Experimental Social Psychology* we coauthored with Nico Thornley, we found that even single-issue negotiations can have a win-win outcome if you frame them in a careful—and counterintuitive—way: By contrasting your offers against the *least your counterparty is willing to accept* (aka their *walkaway price*), you're likely to obtain a more favorable counteroffer and leave both parties happier.¹

In a series of three experiments, participants conducted several negotiations with variations of the question: “How does my offer compare to the minimum price you would be willing to accept?” We found that this framing led other negotiators to not only make less ambitious counteroffers but also to report greater satisfaction than those who were asked to frame their offers against a target price or weren't asked to use any framing techniques.

Why does this work? In negotiations, we compare offers to reference points—or *anchors*, as they are sometimes called. How we feel about a given dollar amount depends on what we're comparing it to. Framing an offer by asking your counterparty to compare it to their walkaway price instead of their target price anchors their expectations, leading them to think about your offer as a gain rather than a loss and thus increasing the likelihood that they will be pleased rather than disappointed with the outcome.

Despite its effectiveness in our studies, this framing technique is rarely adopted in the real world: When we observed 152 simulated job negotiations between MBA students, we found that only four negotiators naturally used a strategy resembling the walkaway-price framing approach. We subsequently launched three negotiation exercises in which we asked participants (groups of MBA students, undergraduates, and working professionals) to imagine themselves in the role of a recruiter who had recently interviewed a great candidate and now had to negotiate their salary.

They were told that they had to choose between using either walkaway-price framing (“My offer is _____. How does my offer compare to the highest offer you have received from another company?”) or target framing (“My offer is _____. How does my offer compare to your ideal salary?”). The overwhelming majority in all samples opted for target framing. The participants told us that they did so because they were afraid that walkaway-price framing would be detrimental from a relational perspective: They felt that it ran the risk of being interpreted as an impolite, offensive move (despite the fact that our studies show walkaway-price framing is actually less likely to leave the counterpart dissatisfied than the more intuitive target-price framing method).

A fourth and final study revealed an important limitation of the walkaway-price technique: Its effectiveness is diminished when the counterparty already has a strong alternative offer. Participants with a strong alternative responded to walkaway-price framing with counteroffers that were comparable to the target-framing condition and *more* ambitious than the no-framing condition. Moreover, walkaway-price framing also resulted in lower satisfaction rates when participants were told that they had a strong alternative offer. Together, these findings suggest that the walkaway-price framing technique is very effective when negotiating with someone who doesn't already have an attractive offer, but if your counterparty does have a strong existing offer, that will render this approach ineffective.

The walkaway-price framing technique will be especially effective when your counterparty has either no alternatives or only weak alternatives. It's important to keep in mind that if your counterparty does have a strong alternative offer, the walkaway-price method could backfire. However, if you're confident that your counterparty's existing options are limited, this strategy can be a simple though counterintuitive way to play hardball in your negotiation while maintaining a positive business relationship.

THINGS TO KEEP IN MIND WHEN USING WALKAWAY-PRICE FRAMING

- Do your homework. Before starting the conversation, figure out the “bargaining zone” for your negotiation, or the area between the various parties’ baseline expectations. If you make an offer without considering the bargaining zone, you’re unlikely to be successful—no matter how you frame that offer.
- You should also do your best to determine whether there are any preexisting offers on the table that might impact your counterparty’s walkaway price and adjust your negotiation strategy accordingly. The more attractive your counterparty’s alternative offers, the less advantageous walkaway-price framing is likely to be.
- Before anchoring your counterparty, determine whether the issue in question is truly isolated, or may have implications for other issues. A premature offer pertaining to a single issue, even one that’s in your favor, may hinder you from finding trade-offs between issues that could create even more shared value.

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Adapted from “How to Play ‘Friendly Hardball’ in a Negotiation” on hbr.org, June 30, 2020 (product #H05PPG).

NOTE

1. Michael Schaerer, Martin Schweinsberg, Nico Thornley, and Roderick I. Swaab, “Win-Win in Distributive Negotiations: The Economic and Relational Benefits of Strategic Offer Framing,” *Journal of Experimental Social Psychology* 87 (2020): 1–8, <https://doi.org/10.1016/j.jesp.2019.103943>.

CHAPTER 25

How to Write a Good Rejection Letter

by Sarah Green Carmichael

Rejection letters aren't easy for any of us to write. Whether you're telling a job candidate that they didn't make the next round, an entrepreneur that you're not going to fund their project, or a vendor that you no longer need their services, these are emails most of us dread crafting. Because it's unpleasant, too many of us put it off or don't do it at all, essentially letting our silence do the talking. That's a missed opportunity (and rude). Though painful, rejection has benefits: Research by Linus Dahlander at ESMT and Henning Piezunka at INSEAD has found, for example, that when organizations take the time to explicitly reject (rather than just passively ignore) crowdsourced ideas, it both increases the quality of the ideas they're being offered and increases the engagement of the crowd.

If there's one thing that I've learned in a decade at *Harvard Business Review*—during which I've rejected literally thousands of ideas, pitches, and drafts—it's that a quick “no” is better than a long “maybe.”

Writing a Basic Rejection Letter

Writing good rejections does take a bit of time—especially at first. But one of the benefits of learning to write a good rejection letter is that it forces you to think clearly about what it is that you want from other people, and what it is that your organization really needs.

Rejection letters need not be long, and the reason you give for the rejection need not be super-detailed. If you don't have much of a relationship with the person—you never met them, maybe just traded some emails—the entire letter might be only a few lines. I looked back at some rejection letters I sent and realized that I usually follow a pretty simple format:

1. Say thanks.
2. Deliver the news.
3. Give the main reason.
4. Offer hope.

For example:

[Their name],

Thanks for making the time to talk with me last week. While I enjoyed our conversation, I think we need someone with more hands-on project management experience for this role. I hope you find the right job for you in the near future.

[Your name]

If you can't think of any hope to offer at the end, then don't. "Do not say anything that will give the recipient the impression that the door is still open," Jocelyn Gleib advises in her email writing guide, *Unsubscribe*. "Such clarity and finality can feel cruel, but adding additional language to 'soften the blow' only serves to create false hope. Say your piece and sign off." False hope is crueler than no hope. False hope just encourages the other person to waste more of their time, and yours.

Writing a Detailed Rejection Letter

But what if the person was really close to being a good fit, and you might want to work with them in the future? Or you have more of a relationship with them? In those cases, the above message is probably too cold and too vague. When rejecting people I want to encourage, I keep the format much the same but am generally *much* more detailed in my reason for rejecting and more explicit in encouraging the person to try again. (Dahlander and Piezunka found that providing an explanation about why an idea was being rejected bolstered the beneficial effects of rejection—e.g., motivation and idea quality.)

I also often end with a question to try to signal that I'm genuinely interested—not just making an empty, softening-the-blow promise. For example:

[Their name],

Thanks for making the time to talk with me last week. I'm sorry to say that your candidacy did not make it to the next round; we've had a very competitive pool for this position. At this point, our organization really needs someone with more project management experience. However, I really enjoyed our conversation and think you could be a good fit here in the right role. Please do keep in touch—and is it OK with you if I let you know about roles that open up that might be a better fit?

All the best,
[Your name]

The more specific you are about the way you reject someone, the more information you give them. A smart rejectee will use this information to come back with a stronger case the next time. I've actually had a few people thank me for rejection letters I wrote to them because it gave them the kind of concrete, specific feedback they needed to get better results in their future attempts. It's a good reminder that people do value receiving criticism, even though most of us dread giving it.

Writing a Rejection Letter When You Disagree with the Decision

It's especially tough to pass along a rejection decision that you disagree with. Maybe you fought hard for a job candidate everyone else was unimpressed by, or championed the cause of a vendor that the executive committee thought was too expensive. I know I've argued for articles that other editors thought weren't ready for prime time. It's not a good feeling.

When this happens, it's tempting to hide behind passive voice or other people—e.g., "It has been decided that we won't be pursuing this" or "The bigwigs have decided to go in a different direction." Resist that temptation. It's not any easier to get rejected in that fashion, and writing that way undercuts your authority as a decision-maker.

If you're the one issuing a rejection, own the rejection. It's fair to say something like, "After a lot of discussion and back-and-forth, we've decided X" or "It was a really hard decision, but we've ultimately decided Y." But say "we," not "they."

A rejection letter in which you're hiding behind a nebulous "they" inhibits your ability to give useful feedback. It also makes your organization look fractious or contentious, which undermines other people's desire to work with you in the future.

Delivering bad news is tough, and in different companies or cultures, these examples may sound either overly harsh or too nice. You'll need to find your own language depending on the context and the culture. That said, remember: Don't soften the blow just for the sake of sparing pain. False kindness just gives people false hope. And there's nothing kind about that.

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Adapted from "Writing a Rejection Letter (with Samples)" on hbr.org, October 3, 2016 (product #H03620).

CHAPTER 26

Why You Should Interview People After They Turn Down a Job with Your Company

by Ben Dattner

Successfully competing for top talent involves both selling jobs to the best candidates and retaining the highest-performing incumbents. To be seen as an employer of choice with a compelling value proposition for employees, many companies measure turnover and conduct exit interviews with departing employees to gather feedback about the experiences people had working there and the reasons why they're leaving. But a less common practice is to track how many people turn down job offers at your company, and an even less common practice is to actually gather feedback from candidates who receive offers but don't accept them. Like "exit interviews" these "declined offer" interviews can yield a lot of information about your own organization as well as valuable data about your industry and competitors.

While academic institutions often gather feedback from students who are accepted but do not matriculate in order to improve student recruitment and retention and to better compete with rival institutions, doing so with job candidates in a systematic and consistent manner is rare in the corporate world. As with other kinds of selling and marketing, you may learn as much, if not more, from the feedback of customers who choose not to buy as you learn from those who do.

If you don't solicit private feedback from people whom you've interviewed (and even if you do), they may provide unsolicited public feedback on websites such as Glassdoor about their experiences being interviewed at your organization. "Declined offer" interviews and feedback can also give you advance warning about factors that may cause your offer rate to decline, enabling you to take proactive steps to prevent it from happening.

The feedback that candidates provide can fall into several categories. There may be some factors that are completely out of your control as hiring manager—for example, if the candidate ultimately decides to pursue another career path or work in a different industry or geographic location. Other feedback may be within your company's control, but difficult to change in the short term, such as the title or level of the job in question or the compensation and benefits package being offered.

However, the feedback that is most likely to be useful and within your control is also likely to be the most sensitive and difficult for the candidate to feel comfortable sharing. It might be hard for a candidate to openly tell you or your human resources partner that they thought you were unfriendly or unfocused, that some interviewers conveyed a low level of enthusiasm about working at your organization, that there were too many interviewers in the mix, or that different interviewers seemed to convey divergent

ideas about the company's strategy and plans, the level of authority or responsibilities in the role, the key challenges of the role, or what would be necessary for success.

It's helpful to collect feedback anonymously through online surveys or email; via a third party such as an external search, consulting, or research firm; or through an internal market research, branding, or analytics department that is outside of both the hiring area and human resources. By gathering feedback through one of these channels, candidates can be sufficiently candid and specific about their experiences and suggestions without having concerns about burning any bridges.

Inform candidates who decline offers that their participation in a "declined offer interview" will be much appreciated, that there are no hard feelings, and that when requested and feasible, their individual feedback can remain confidential or anonymous. Knowing that your organization will keep the door open for other potential future opportunities and is committed to continuously improving its competitiveness as an employer might also encourage candidates to participate and provide their honest perspectives.

Here are some questions that you can and should ask the candidates who got away:

- What did you see as the potential positive aspects of the role and/or working at our organization?
- What were your concerns about the role and/or working at our organization?
- What were the most important factors in the decision you made?
- What feedback or suggestions do you have about your interviews, interviewers, the interview process itself, or how we could have improved your overall experience as a candidate?
- Can you provide any observations about, or feedback or suggestions for the hiring manager, HR, or the organization overall?
- What additional feedback or suggestions can you provide about how we might present a more compelling value proposition to candidates like you in the future?

This kind of feedback can provide ample opportunities for your organization to develop theories about how to improve your processes, branding, and candidate experience. It's important to understand, though, that personal sensitivities and organizational politics will inevitably influence the hypotheses that people develop, the interpretations they make, the conclusions they reach and the "stories" they tell themselves and others. As hiring manager, you may believe that HR didn't manage the candidate's timing and logistics properly, while HR may believe that your interviewing skills aren't strong or that you're not a dynamic enough speaker to present the company well. Both you and HR may believe that the CEO should have cleared their calendar to meet with the candidate earlier in the process.

These varying interpretations and perspectives mean it's important to frame this feedback collection in a positive, forward-looking way, to keep an open mind, and to ask candidates who received but did not accept offers open-ended and non-leading questions to get their true impressions and feelings. If they decided to take a different offer, or to remain at their current job, it's helpful to know which criteria they used in making their decision, especially if it was a hard choice for them to make.

With HR, you can also compare and contrast feedback from those who did not take offers with the feedback from those who did and try to ascertain which controllable factors might make the difference in the decision-making process of future candidates that your organization wants to attract. For example,

your organization may realize it needs to train hiring managers to be more friendly and focused during interviews, or to ask more relevant job-related questions. Or you can work with HR to seek out a more diverse and enthusiastic group of interviewers who may also represent the organization better to different kinds of candidates and potentially build more positive interpersonal chemistry with them.

It's not easy for any hiring manager, HR department or organization to confront rejection and deal with it constructively. However, by having the courage and discipline to gather, learn from, and productively act on the open and honest feedback of candidates who got away, you and your colleagues can enhance your employment brand, sell your value proposition more effectively than your organization's rivals, improve the candidate experience, and boost your offer acceptance rate in the future.

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